Theory case · Topic 2 · 2 points · 15 min

C16 — Aurum Interiors: tangible and intangible differentiation in business jets

Aurum Interiors S.L. designs cabins for private jets and charges about twice what its competitors charge. Its cabins use sound-absorbing panels that make them the quietest in the market and seats 20% lighter than average, and they are delivered with a personalised maintenance plan and a 24-hour technical hotline. Each cabin is signed by a well-known designer, carries a numbered plaque, and owners are invited to an exclusive yearly event. Aurum's account managers accompany each customer from the first sketch to years after delivery.

Part (a) · 1.25 points

Classify the sources of Aurum's differentiation as tangible or intangible

Source	Type [Slide 24]	Why
Quietest cabins (sound-absorbing panels)	Tangible	Performance, observable and measurable
Seats 20% lighter	Tangible	Materials and performance
Maintenance plan and 24-hour hotline	Tangible	Complementary services
Designer's signature, numbered plaque	Intangible	Image, status, desire for exclusivity
Exclusive yearly event	Intangible	Identity and status of belonging to a select group
Account managers from sketch to after-sales	Whole relationship	Total customer responsiveness [Slide 24]

KEY POINTS

- Tangible: quietness (performance), lighter seats (materials/performance), maintenance plan and hotline (complementary services).
- Intangible: designer's signature, numbered plaque, exclusive event (status, exclusivity).
- The account managers: the whole supplier–customer relationship.

Part (b) · 0.75 points

Explain how differentiation allows Aurum to charge twice the price, and what it must protect

Differentiation means **providing something unique that the buyer values** beyond a low price [Slide 23]; because the customer values it, they accept a **price premium** [Slide 20]. Aurum's quiet, light cabins and its exclusive image create that value, so jet owners pay double. The strategy works only while the premium exceeds the extra cost of the panels, designers and services, and while the uniqueness lasts. The tangible features can eventually be copied; the intangible ones (brand, designer, relationship with owners) are harder to imitate and are what Aurum must protect.

KEY POINTS

- Differentiation creates value for the customer, which earns a price premium [Slide 20].
- The premium must exceed the extra cost of differentiating.
- Aurum must protect what is valuable and hard to copy: reputation, design, relationship.